



INTERIM FINANCIAL STATEMENTS

30 JUNE 2018



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 30 June

		Three Months Ended 30 June 2018 Unaudited Rs	Three Months Ended 30 June 2017 Unaudited Rs
	<u>Note</u>		
Revenue		<u>370,145,383</u>	<u>241,645,973</u>
Gross written premium	3	321,803,007	209,778,678
Premium ceded to reinsurers	3	<u>(9,721,587)</u>	<u>(12,290,064)</u>
Net written premium		312,081,420	197,488,614
Other Revenue			
Fee and Commission Income	3	6,626,105	4,332,191
Income from investments	5	50,009,443	37,415,186
Realise Gain	3	-	1,297,874
Other Income	3	<u>1,428,415</u>	<u>1,112,108</u>
Total Other revenue		58,063,963	44,157,359
Net Income		370,145,383	241,645,973
Net insurance benefits and claims paid		(26,653,949)	(20,167,487)
Net change in insurance claims outstanding		222,755	(2,011,576)
Underwriting and Net Acquisition Costs		(138,006,797)	(88,846,467)
Change in Contract Liabilities - Life Fund		(102,620,584)	(62,049,671)
Other operating and administrative expenses		<u>(86,263,548)</u>	<u>(56,991,663)</u>
Net benefits and claims		(353,322,123)	(230,066,864)
Profit/(Loss) before tax		<u>16,823,260</u>	<u>11,579,109</u>
Income tax expense		-	-
Profit/(Loss) for the Period		<u>16,823,260</u>	<u>11,579,109</u>

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 30 June

	Notes	Three Months Ended 30 June 2018 Unaudited Rs	Three Months Ended 30 June 2017 Unaudited Rs
Profit / (Loss) for the year		16,823,260	11,579,109
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		636,908	(6,732,268)
Fair value movement of AFS reserve transferred to life fund		(636,908)	6,732,268
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		16,823,260	11,579,109

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Six Months Ended 30 June

		Six Months Ended 30 June 2018 Unaudited Rs	Six Months Ended 30 June 2017 Unaudited Rs
	Note		
Revenue		759,940,868	473,490,019
Gross written premium	3	667,914,839	408,275,410
Premium ceded to reinsurers	3	(17,256,347)	(19,308,948)
Net written premium		650,658,492	388,966,462
Other Revenue			
Fee and Commission Income	3	13,083,192	8,739,937
Income from investments	5	93,098,143	72,254,051
Realise Gain	3	-	1,297,874
Other Income	3	3,101,041	2,231,695
Total Other revenue		109,282,376	84,523,556
Net Income		759,940,868	473,490,019
Net insurance benefits and claims paid		(62,407,888)	(49,198,442)
Net change in insurance claims outstanding		1,036,624	(1,456,797)
Underwriting and Net Acquisition Costs		(277,757,931)	(149,662,384)
Change in Contract Liabilities - Life Fund		(231,742,514)	(150,136,984)
Other operating and administrative expenses		(157,968,536)	(99,303,633)
Net benefits and claims		(728,840,245)	(449,758,240)
Profit/(Loss) before tax		31,100,623	23,731,779
Income tax expense		-	-
Profit/(Loss) for the Period		31,100,623	23,731,779

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Six Months Ended 30 June

	Notes	Six Months Ended 30 June 2018 Unaudited Rs	Six Months Ended 30 June 2017 Unaudited Rs
Profit / (Loss) for the year		31,100,623	23,731,779
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		1,000,646	(7,229,964)
Fair value movement of AFS reserve transferred to life fund		(1,000,646)	7,229,964
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		31,100,623	23,731,779

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

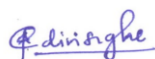
Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 30 June 2018

		30-Jun-18 Unaudited Rs.	31-Dec-17 Audited Rs.
	Notes		
Assets			
Property, Plant and Equipment		70,246,948	57,597,796
Financial Assets	7	1,526,103,497	1,346,980,154
Loans to Life Policy Holders		197,096,814	157,711,170
Reinsurance Receivable		26,853,997	20,702,073
Amounts due from related party		-	181,589
Premium Receivable		102,614,579	105,775,413
Other Assets		114,438,954	94,318,211
Cash and Cash Equivalents		395,316,585	320,778,531
Total Assets		2,432,671,375	2,104,044,937
Equity and liabilities			
Shareholders' Equity			
Stated capital		675,564,870	675,564,870
Revenue Reserves		288,732,777	257,632,153
Total Shareholders' Equity		964,297,647	933,197,023
Liabilities			
Insurance Provision - Life	8	1,258,200,160	1,025,457,000
Employee Benefit Obligation		7,907,153	6,568,317
Reinsurance Creditors		38,554,918	30,859,018
Amounts Due to Related Party	10	18,768,224	9,694,865
Financial Liabilities		109,126,267	72,456,338
Other liabilities		35,817,006	25,812,376
Total Liabilities		1,468,373,728	1,170,847,914
Total Liabilities and Shareholders' Equity		2,432,671,375	2,104,044,937

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



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Manager Finance
(Iroshini Edirisinghe)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



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Director
(W.J. Viville P. Perera)



.....
Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

13th August 2018
Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW

For the Six Months Ended 30 June

	Notes	2018 Rs.	2017 Rs.
Operating activities			
Premium received from customers		668,511,173	400,194,769
Payment to ReInsurer		(6,098,269)	(5,586,367)
Claims paid		(70,794,074)	(39,421,162)
Cash received from Reinsurer		6,074,217	-
Payment to suppliers and others		(316,139,289)	(190,165,993)
Cash Inflow from Operating Activities		<u>281,553,759</u>	<u>165,021,247</u>
Tax Paid		(5,495,140)	(4,689,528)
Net Cash Flows from Operating Activities		<u>276,058,619</u>	<u>160,331,719</u>
Investing activities			
Purchase of property and equipment		(22,397,223)	(15,903,141)
Disposal of Property Plant and Equipment		-	-
Net drawdown of Investments		(179,123,342)	(203,360,787)
Net cash flows generated / (used) in investing activities		<u>(201,520,565)</u>	<u>(219,263,928)</u>
Financing Activities			
Proceeds from Share issue		-	-
Stamp Duty on Share Allotment		-	-
Net cash flows used in financing activities		<u>-</u>	<u>-</u>
Net (decrease) /increase in cash and cash equivalents		74,538,054	(58,932,208)
Cash and cash equivalents at 1 January		320,778,531	106,504,318
Cash and cash equivalents at 30 June		<u>395,316,585</u>	<u>47,572,110</u>
Analysis of Cash and Cash Equivalents			
Favourable Balances			
Cash at Hand		318,856	260,612
Cash at Bank		394,997,730	47,311,498
		<u>395,316,585</u>	<u>47,572,110</u>
Unfavourable Balances			
Bank Overdrafts		-	-
Total Cash and Cash Equivalents		<u>395,316,585</u>	<u>47,572,110</u>

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Six Months Ended 30 June

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Balance as at 1 January 2017	675,564,870	-	79,145,019	754,709,889
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	23,731,778	23,731,779
Un audited Balance as at 30 June 2017	675,564,870	-	102,876,797	778,441,667
Issue of share capital	-	-	-	-
Share Issue Expenses	-	-	-	-
Dividend Declared	-	-	(26,492,162)	(26,492,162)
Other Comprehensive Income	-	-	(1,033,916)	(1,033,916)
Net profit for the period	-	-	182,281,435	182,281,435
Audited Balance as at 31 December 2017	675,564,870	-	257,632,154	933,197,025
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	31,100,623	31,100,623
Un audited Balance as at 30 June 2018	675,564,870	-	288,732,776	964,297,647

Arpico Insurance PLC

Notes to Interim Financial Statements

- Figures in the these Condensed Interim Financial Statements for the period ended 30th June 2018 are provisional and unaudited.
- The Condensed Interim Financial Statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No.7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the Audited Financial Statements - 2017 have been followed in preparation of these Condensed Interim Financial Statements .Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

3. REVENUE		Six Months Ended 30 June Unaudited 2018 Rs	Six Months Ended 30 June Unaudited 2017 Rs	Three Months Ended 30 June Unaudited 2018 Rs	Three Months Ended 30 June Unaudited 2017 Rs
	Notes				
Gross Written Premium	4(a)	667,914,839	408,275,410	321,803,007	209,778,678
Premium Ceded to Reinsurers	4(b)	(17,256,347)	(19,308,948)	(9,721,587)	(12,290,064)
Net Written Premium		650,658,492	388,966,462	312,081,420	197,488,614
Fees and commission income		13,083,192	8,739,937	6,626,105	4,332,191
Investment income		93,098,143	72,254,051	50,009,443	37,415,186
Other operating revenue		3,101,041	2,231,695	1,428,415	1,112,108
Realise Gain		-	1,297,874	-	1,297,874
Total Revenue		759,940,868	473,490,019	370,145,383	241,645,973

4. NET WRITTEN PREMIUMS		Six Months Ended 30 June Unaudited 2018 Rs	Six Months Ended 30 June Unaudited 2017 Rs	Three Months Ended 30 June Unaudited 2018 Rs	Three Months Ended 30 June Unaudited 2017 Rs
4 (a) Gross premiums on insurance contracts					
Conventional Policies		667,914,839	408,275,410	321,803,007	209,778,678
Total gross written premiums		667,914,839	408,275,410	321,803,007	209,778,678

4 (b). Premiums ceded to reinsurers on insurance contracts		Six Months Ended 30 June Unaudited 2018 Rs	Six Months Ended 30 June Unaudited 2017 Rs	Three Months Ended 30 June Unaudited 2018 Rs	Three Months Ended 30 June Unaudited 2017 Rs
Conventional Policies		(17,256,347)	(19,308,948)	(9,721,587)	(12,290,064)
Total premiums ceded to reinsurers		(17,256,347)	(19,308,948)	(9,721,587)	(12,290,064)
Total net written premiums		650,658,492	388,966,462	312,081,420	197,488,614

5. INVESTMENT INCOME		Six Months Ended 30 June Unaudited 2018 Rs	Six Months Ended 30 June Unaudited 2017 Rs	Three Months Ended 30 June Unaudited 2018 Rs	Three Months Ended 30 June Unaudited 2017 Rs
Available-for-sale financial assets					
Interest income		33,395,494	34,391,012	15,835,179	17,844,632
Loans and receivables interest income		59,702,649	37,863,039	34,174,264	19,570,553
Total investment income		93,098,143	72,254,051	50,009,443	37,415,186

6. EARNINGS/(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Six Months Ended 30 June Unaudited 2018 Rs	Six Months Ended 30 June Unaudited 2017 Rs
Profit/(Loss) for the year	31,100,623	23,731,779
Weighted Average Number of Ordinary Shares (Nos)	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.46	0.35

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	30-Jun-18 Unaudited Rs	31-Dec-17 Audited Rs
Loans and receivables	1,203,656,903	1,025,127,561
Available-for-sale financial assets	322,446,594	321,852,593
Total financial instruments	1,526,103,497	1,346,980,154

The following table consists of the fair values of the financial investments together with their carrying values.

	30-Jun-18 Carrying value Unaudited Rs	30-Jun-18 Fair value Unaudited Rs	31-Dec-17 Carrying value Audited Rs	31-Dec-17 Fair value Audited Rs
Loans and receivables	7 (a). 1,203,656,903	1,203,656,903	1,025,127,561	1,025,127,561
Available-for-sale financial assets	7 (b). 322,446,594	322,446,594	321,852,593	321,852,593
Total financial instruments	1,526,103,497	1,526,103,497	1,346,980,154	1,346,980,154

7 (a). Loans and receivables

	30-Jun-18 Unaudited Rs	31-Dec-17 Audited Rs
Investment in Corporate Debt	742,479,884	584,079,538
Investment in Fixed Deposit	128,031,103	120,983,216
Investment in Repos	373,145,916	360,064,808
	1,243,656,903	1,065,127,561
Provision for Impairment	(40,000,000)	(40,000,000)
	1,203,656,903	1,025,127,561

7 (b). Available for sale financial assets

	30-Jun-18 Unaudited Rs	31-Dec-17 Audited Rs
Investments in Government Securities	322,446,594	321,852,593
	322,446,594	321,852,593

Arpico Insurance PLC

Notes to Interim Financial Statements

8. INSURANCE CONTRACT LIABILITIES	30-Jun-18 Unaudited Rs	31-Dec-17 Audited Rs
Balance as at beginning		
Change in contract liabilities life fund	1,025,457,000	726,047,856
Increase in Life insurance fund before surplus transfer	231,742,514	436,459,576
Surplus transferred from share holders	-	(155,945,927)
Increase in Life insurance fund	231,742,514	280,513,649
Movement in AFS reserve transferred to life fund	1,000,646	18,895,495
Balance as at end of the Periods	1,258,200,160	1,025,457,000

8 (a) Increase in Life insurance fund before surplus transfer

	2018 June (Unaudited)		
	Gross Insurance Contract Liabilities Rs	Reinsurance on Insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	667,914,839	(17,256,347)	650,658,492
Liabilities paid for death, benefits and claims	(77,060,582)	15,689,318	(61,371,264)
Underwriting and Net Acquisition Costs	(277,757,931)		(277,757,931)
Fees (deducted)/received	16,184,233		16,184,233
Investment return	61,997,519		61,997,519
Realise Gain	-		-
Other operating and administrative expenses	(157,968,535)		(157,968,535)
As at 30 June 2018	233,309,543	(1,567,029)	231,742,514

	2017 December (Audited)		
	Gross Insurance Contract Liabilities Rs	Reinsurance on Insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	1,038,085,079	(28,370,148)	1,009,714,932
Liabilities paid for death, benefits and claims	(145,195,117)	25,438,070	(119,757,047)
Underwriting and Net Acquisition Costs	(352,294,910)	-	(352,294,910)
Fees (deducted)/received	13,936,980	-	13,936,980
Investment return	114,709,199	-	114,709,199
Realise Gain	85,349	-	85,349
Other operating and administrative expenses	(229,934,931)	-	(229,934,931)
As at 31 December 2017	439,391,651	(2,932,077)	436,459,574

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant Actuaries for the year ended 31st December 2017 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2017 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consulatat M/S Acturial Partners. Based on that valuation,the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PLC

Notes to Interim Financial Statements

9. TAXATION AND DEFERRED TAX

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provision of the Inland Revenue Act, No 10 of 2006 and subsequent amendment thereto. Life Insurance Business does not have an income tax expense so far.

Thus, no deferred tax assets is recognized in the financial Statements as it is not probable that the future taxable profit will be adequate to utilize the available tax losses fully in the foreseeable future.

10. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	30-Jun-18 Unaudited Rs	31-Dec-17 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	10,513,950	-
Richard Pieris Distributors Limited	Affiliate	6,307,209	7,212,260
Arpitech (pvt) Ltd	Affiliate	1,619,857	1,040,633
Arpico Interiors (Pvt) Ltd	Affiliate	99,722	1,441,973
RPC Logistics (Pvt) Ltd	Affiliate	227,485	-
		<u>18,768,224</u>	<u>9,694,865</u>

11. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30th June 2018, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

12. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interrim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Six Months Ended 30 June

Share Information

Top 20 Shareholders

Name of the Shareholder

	As at 30th June 2018	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS PLC	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO PLC	15,125,001	22.84
4 MR.J.P.PAUL	1,334,803	2.02
5 MR.S.S.MAARAN	609,894	0.92
6 MR.S.SENTHINANDHANAN	545,756	0.82
7 MR.H.V.SENAWEEERA	393,316	0.59
8 MR.P.B.PERERA	338,593	0.51
9 MR.A.P.ARUMUGAMPILLAI	305,000	0.46
10 MR.C.S.N.SILVAPULLE	216,834	0.33
11 MR.S.SIVASHANTH	200,000	0.30
12 MR.B.A.R.DISSANAYAKE	200,000	0.30
13 PAN ASIA BANKING CORPORATION PLC/MR.S.GOBINATH	154,999	0.23
14 MRS.M.S.E.V.E.A.U.VON STUMM	150,000	0.23
15 DR.A.S.WIJENAYAKA	145,284	0.22
16 MR.F.N.HERFT	143,811	0.22
17 ELGIN INVESTMENTS LIMITED	120,000	0.18
18 MRS.M.P.B.FERNANDO	100,000	0.15
19 FLYBRUNEI SDN BHD	99,700	0.15
20 MR.M.L.A.BENEDICT	92,952	0.14
	<u>64,750,945</u>	<u>97.76</u>

Public Shareholding

	As at 30th June 2018	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of Shares	<u>6,630,400</u>	<u>10.01</u>
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of Shareholders	<u>565</u>	<u>99.30</u>

Directors' Shareholdings

There is no share holding by the directors as at As at 30th June 2018

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

Net Asset Value Per Share as at As at 30th June 2018	14.6
Highest Price Per Share for the Interim Period	19.4
Lowest Price Per Share for the Interim Period	17.8
Last traded Price Per Share as at As at 30th June 2018	18.7